

Youth protests in India will test all political parties

送信者: EG South Asia Biweekly 受信日時: 2026-08-21 04:43

【メール原文】

Student protests in the opposition-ruled state of Jharkhand indicate that youth disaffection will be an issue not only for the ruling Bharatiya Janata

South Asia Biweekly

[Customize Email Preferences](#)

Youth protests in India will test all political parties

20 Aug 2026 15:41 EDT [Discover more on the Portal](#)

- India: Stormy monsoon session sees incremental reform progress
- India: Youth protests will create problems for opposition parties
- India: France set to be India's primary military aviation partner
- Pakistan: Protests in Kashmir won't pose a threat to Sharif
- Sri Lanka: Colombo is on course to complete its IMF program
- Sri Lanka: Measure to increase judicial tenures likely to pass

India

Short-term trajectory:

Long-term trajectory:

Stormy monsoon session sees incremental reform progress. The recently concluded monsoon session saw parliament conduct business for less than a third of its allotted time. Opposition parties sought to press Prime Minister Narendra Modi's government on its handling of the student-led protests in New Delhi and to slow the momentum of the ruling Bharatiya Janata Party (BJP) after favorable state election results in April. Nonetheless, parliament passed 12 bills, including three minor economic overhauls.

*

The most important measure was the Taxation and Other Laws (Amendment) Bill, which exempts foreign investors from paying income tax on interest earnings and capital gains tax on government securities. The Micro, Small and Medium Enterprises Development (Amendment) Bill aims to help small and medium-sized businesses by addressing delayed payments.

*

The government also amended mining regulations again, this time to limit the power of state governments to impose additional taxes. The Modi government wants to attract foreign investment in the mining sector; however, despite India's abundant reserves of rare earths and other critical minerals, global miners have largely stayed away due to political risks.

*

In the winter session of parliament in December and January, the government will likely focus on passing the Delimitation Bill, which would accelerate the implementation of women's quotas in parliament, initiate the redrawing of constituencies, and expand the lower house from 543 seats to about 850. However, the BJP must first secure the two-thirds parliamentary support needed for a constitutional amendment. The government may also introduce bills to overhaul higher education and bring in market-based electricity pricing.

Youth protests will create problems for opposition parties. On 18 August, days after student-led demonstrations in New Delhi ended, protests in the eastern state of Jharkhand over irregularities in recruitment examinations for government jobs forced the state government to cancel the results. The government will now rerun 44 recruitment examinations.

*

The larger demonstrations in New Delhi targeted the Modi government, and the education minister's resignation represented a rare setback for the prime minister (see: Youth discontent remains major political threat for BJP as protests subside , 28 June 2026). Yet, the protests in opposition-ruled Jharkhand indicate that youth disaffection will be an issue not only for the BJP but for all political parties.

*

High unemployment is driving that youth disaffection, with nearly 30% of college graduates out of work. Although the protests have been largely non-partisan, their anti-establishment nature will likely hurt the BJP most in the state elections scheduled for February and March next year, as the party holds power in four of the five states headed to the polls. BJP leaders will be particularly concerned about Uttar Pradesh, India's most populous state, where one-third of the electorate is below 30.

France set to be India's primary military aviation partner. India and France are negotiating a three-part package deal that includes India's participation in France's sixth-generation fighter program, the purchase of additional Dassault Rafale fighter jets, and joint development of a jet engine. The agreement would place France at the heart of Indian military aviation for decades.

*

Paris faces no competition on the first two elements. India has begun talks to join France's stand-alone sixth-generation program, indicating that New Delhi no longer intends to pursue the UK-Italy-Japan Global Combat Air Programme. Meanwhile, negotiations over the purchase of 114 Rafales are continuing, with Paris submitting its technical and commercial proposal on 29 July. India's Defence Ministry has already approved the acquisition.

*

Although Safran faces competition from Rolls-Royce in the race to co-develop a jet engine to power India's future indigenous fighters, the French company remains the leading contender to secure the contract. Rolls-Royce is believed to have made a more generous offer, but India has strategic concerns about an engine vulnerable to US export controls.

*

India is increasingly turning to Europe for defense technologies, as US export restrictions and doubts about Washington's strategic reliability impede defense cooperation. EU member states have gradually eased technology restrictions as India-EU strategic ties improve. India is also expected to buy German Type-214 submarines under a technology transfer agreement in the coming months (see: India will rely on France to power its military aviation , 20 August 2026).

Pakistan

Short-term trajectory:

Long-term trajectory:

Protests in Kashmir won't pose a threat to Sharif. Pakistani security forces cracked down on protestors in Azad Jammu and Kashmir and suspended voting in the last seven constituencies of the assembly elections. Prime Minister Shehbaz Sharif's ruling Pakistan Muslim League (PML-N) is already on track to win the vote after securing 25 of 53 seats.

*

Protests in Pakistani Kashmir over issues such as demographic displacement and a rigged political structure are not uncommon, but a death toll of about 50 is unusually high. The unrest does not threaten the government's and military's control of the region, which is central to the long-running dispute with India. However, the protests and the crackdown weaken Islamabad's claims about India's oppression of Kashmiris.

*

The protests are unlikely to affect government stability. Although Sharif's junior coalition partner, the Pakistan People's Party, expressed support for Kashmiris, the party appears to be acting opportunistically to strengthen its standing in the region and undermine the PML-N's position with the military.

*

Unrest across Pakistan's border provinces—Azad Jammu and Kashmir, Khyber Pakhtunkhwa, and Balochistan—is not connected. Of the three, only the insurgency in Balochistan poses a serious challenge to Islamabad (see: Sharif government will weather Kashmiri protests amid fragmented provincial unrest , 14 August 2026).

Sri Lanka

Short-term trajectory:

Long-term trajectory:

Colombo is on course to complete its IMF program. The IMF still must conduct the seventh and eighth reviews of Sri Lanka's four-year \$2.9 billion extended fund facility. But only one more tranche of about \$500 million remains, with the disbursement expected in March 2027. Completion of the IMF bailout will give President Anura Kumara Dissanayake a political win and boost investor confidence.

*

Dissanayake has won praise from the IMF for staying the course on reforms despite a cyclone last November and an energy crisis triggered by the Iran war. The government has implemented nearly all recommended economic reforms and adopted strong anti-corruption measures. In the coming months, it plans to introduce additional measures to improve Sri Lanka's business environment. Those steps include an Investment Protection Bill to guard against expropriation and a Public-Private Partnership Bill to attract private investment in the country's infrastructure and services.

*

Economic growth will probably moderate to around 3%-4% this year because of the fallout from the Iran war, but Sri Lanka's overall economic outlook has improved, prompting ratings agencies to upgrade or affirm their assessments. S&P affirmed Sri Lanka's CCC+ rating with a stable outlook and raised the country from 6 (very high risk) to 5 (high risk). Fitch retained its CCC+ rating. Sri Lanka also received a record \$1 billion in foreign investment in 2025 (see: Upgrading short-term political trajectory on

improved economic stability , 13 August 2026).

Measure to increase judicial tenures likely to pass. On 18 August, the government introduced a constitutional amendment to raise the retirement age of superior court judges by two years. Lawyers' associations and opposition parties have criticized the proposal. The Bar Association of Sri Lanka has also challenged the bill's constitutionality in the supreme court.

*

The amendment will probably pass because the ruling National People's Power alliance holds more than two-thirds of the seats in parliament. However, the measure is unpopular and will likely carry political costs for Dissanayake's government. The government argues that the amendment will help reduce a backlog of about 1.1 million pending cases, while opposition parties accuse Dissanayake of trying to expand his influence over the judiciary.

*

The government is pursuing the measure because it sees an extension of Chief Justice Preethi Padman Surasena's tenure as critical to its anti-corruption campaign, especially for the quick resolution of cases involving the once-powerful Rajapaksa family.

*

Elsewhere, despite campaign promises to abolish Sri Lanka's executive presidency and return to a Westminster-style parliamentary democracy, Dissanayake has taken no steps in that direction two years into his term.

Rahul Bhatia

Analyst, South Asia

bhatia.ne@eurasiagroup.net

Pramit Chaudhuri

Practice Head, South Asia

chaudhuri.ne@eurasiagroup.net

EG South Asia Biweekly

southasia@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cmt1w1lyn7bvr08n4sld1iyw8

[Opt Out](#) | [Customize Email Preferences](#)